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Morgan Stanley | RESEARCH

IDEA

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Alternative Asset Managers | North America

Assessing Software Portfolio Disruption Risks

MORGAN STANLEY & CO. LLC

Michael J. Cyprys, CFA, CPA
Equity Analyst
Michael.Cyprys@morganstanley.com +1 212 761-7619

Annalei E Davis
Research Associate
Annalei.Davis@morganstanley.com +1 212 761-1736

BROKERS, ASSET MANAGERS & EXCHANGES
North America
Industry View In-Line

Alts stocks down -7% today, underperforming broader mkt -1%, on fears that AI disruption risk could negatively impact portfolio companies in the software sector. Portfolios are highly diversified, and some investments may benefit from AI. See attractive entry point in high quality diversified Alts.

What Happened? Alternative asset manager stocks are down nearly ~7% today (vs broader market down -1%) on back of new developments in artificial intelligence that investors fear could disrupt software companies, raising potential risk to private equity and private credit investments in the sector. Market selloff today across legal software and data services stocks was **sparked by news of Anthropic AI revealing a tool for use by companies' legal departments**. Anthropic, the company behind the chatbot Claude, said its tool could automate legal work and also unveiled a number of other open-source tools to automate a range of professional activities includes sales and customer service. Subsequently, shares of the alts traded down over fears of software company exposure in PE / Private Credit portfolios and potential disruption.

Sizing PE's exposure to Software? Across the industry, we see IT services as ~23% of PE deal value on average since 2020 (~16% of deal count), of which software is a subset, in the context of diversified portfolios. Looking at our coverage, we see similar conclusion, where technology services deal volumes are ~21% overall PE deal volumes with TPG, CG, and KKR bit higher, and APO the lowest.

But where there's risk, there's also opportunity…. It is important to keep in mind that private equity portfolios across our covered alternative asset managers are highly diversified. Further, private equity is not a passive investor in companies, rather they are highly active owners that drive change (mgmt/board changes, business changes) and take action (including strategic activity) to create value. While some portfolio companies may face risk from AI disruption, it's also an opportunity for others. There could be major winners in the portfolio that could benefit from embracing AI to unlock/accelerate growth and efficiencies, and these winners could potentially more than offset a poor investment elsewhere. Across the industry we suspect some PE funds/mgrs may fare better than others, leading to increased dispersion of fund returns, yet the market is trading the stocks (down 5-10%) as if exposure and impact is largely similar.

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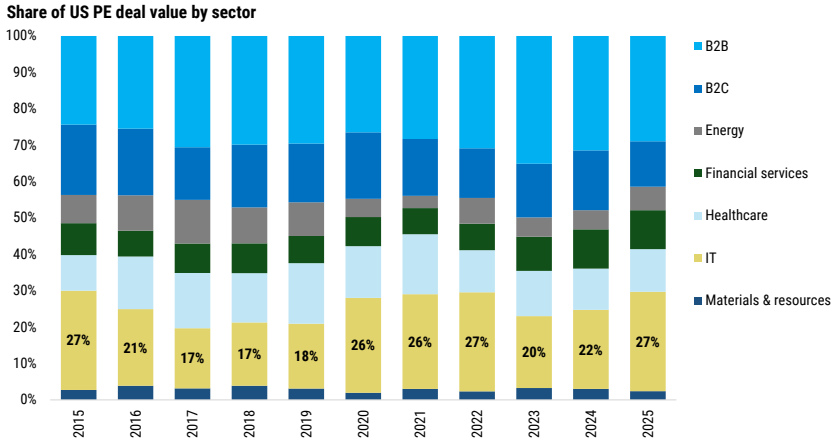
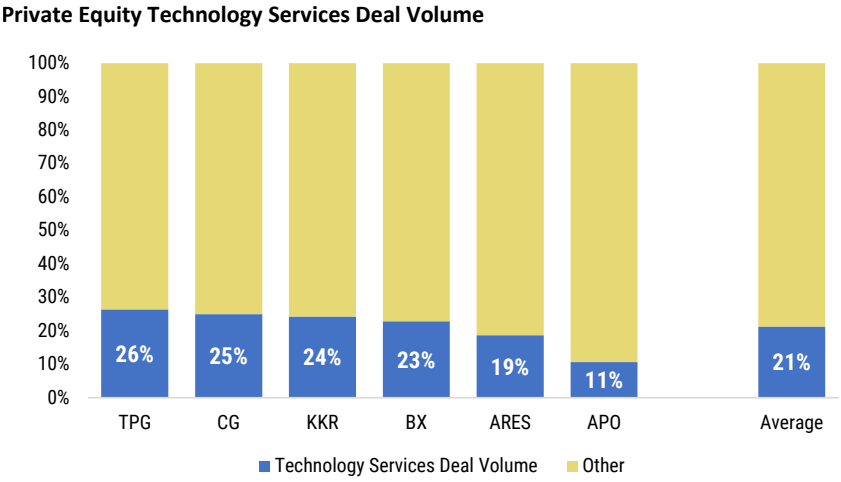
For analyst certification and other important disclosures, refer to the Disclosure Section, located at the end of this report.

Exhibit 1: IT has made up ~23% of PE Industry deal value on average since 2020



Source: Pitchbook

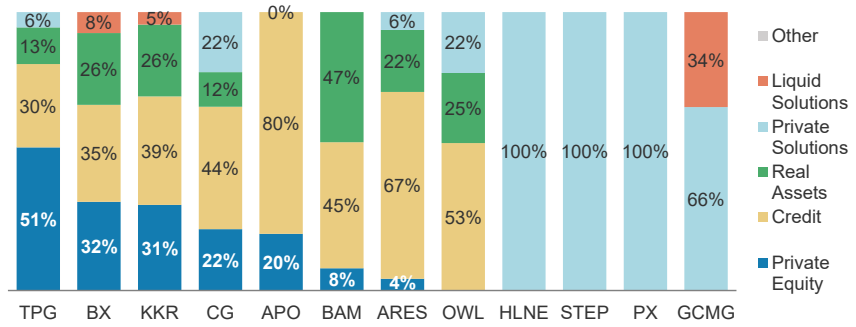
Exhibit 2: Across Our Covered Alts…. PE Tech Services Deals Represent ~21% of Transaction Volumes



Source: Factset via the PE/VC Firm Snapshot template which provides an overview on private equity and venture capital firms and information about investing activities.

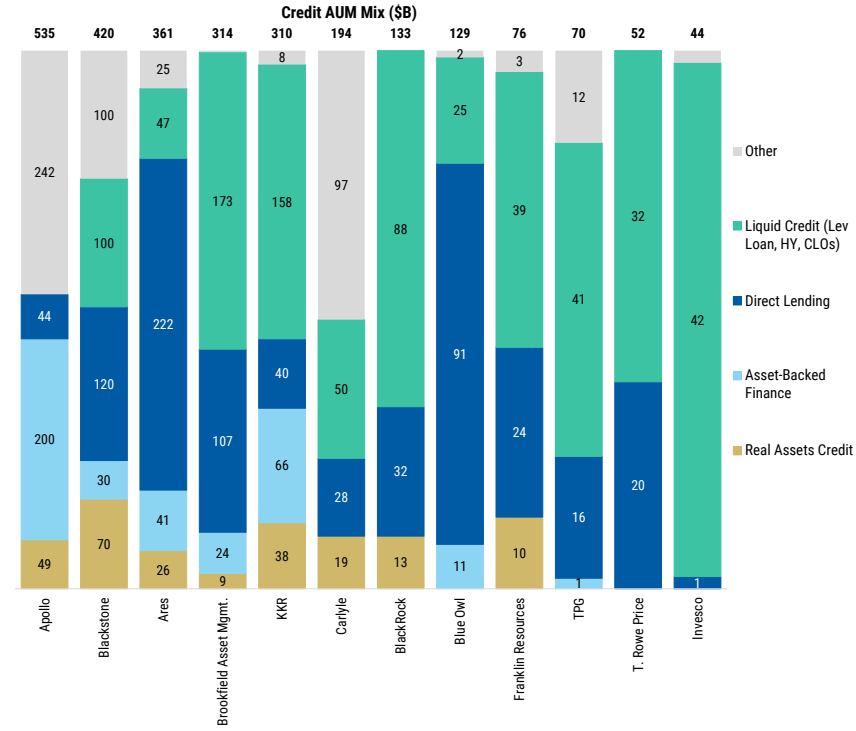
Across our coverage, we see the **highest mix of PE AUM at TPG, BX, and KKR**… those with **greatest credit AUM mix at APO and ARES**, while **BAM/BN has the greatest real asset exposure**. We would also note that credit AUM mix varies widely across the group, with APO most skewed towards asset-backed financing and ARES most skewed towards direct lending.

Exhibit 3: Alternative Asset Manager AUM Mix by Asset Class



Source: Company Data, Morgan Stanley Research Estimates, Note: For APO, Other represents AuM within Hybrid Debt and Equity Solutions. Data as of 9/30/2025
OWL and GCMG are not covered by Morgan Stanley.

Exhibit 4: Private Credit AUM Mix ($B)



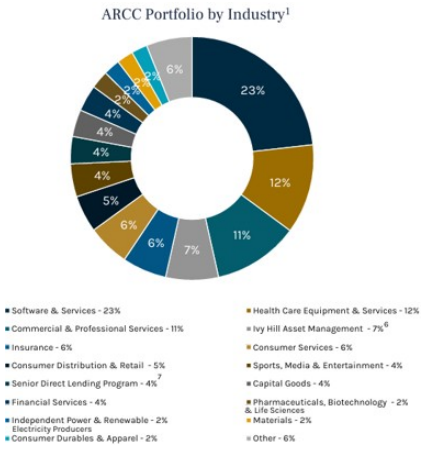
Source: Company data, Morgan Stanley Research, Note: data as of September 2024; BPT and KKR real estate data as of Jun-24, Classified into Other Credit: APO includes ~$77b of corporate credit and fixed income, BX includes $100b of insurance solutions/other credit, Ares includes its Asia Credit franchise, CG includes $83b of Fortitude assets. TPG includes $41b other solutions and multi-strategies.

Sizing Private Credit's exposure to Software: For private credit - we suspect exposure to software/IT is greatest within the direct lending sponsor finance strategies/funds that helped finance software LBOs, with more limited exposure across other credit strategies, eg asset-based finance, real estate credit, private investment grade etc. To assess exposure, we look to public data from BDCs, which are traded or non-traded vehicles managed by the Alts and generally invest in sponsor finance direct lending. **ARES's ARCC**, is the largest traded BDC with ~ $28.7b AUM at fair value (as of 9/30/25) and see software & services marking up

~23% of the portfolio, similar to PE industry exposure. At **BX's BCRED**, the largest non-traded BDC with $82.2B total investments at fair market value and $47.6b of NAV, Software comprises up 26% of the portfolio (as of 12/31/2025). **Across our covered Alts, we see BDCs they manage with ~16% software exposure on average.**

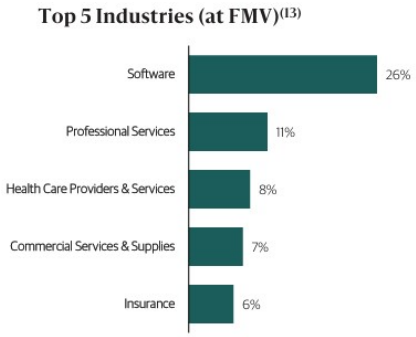
However, private credit funds are highly diversified across hundreds of portfolio company credits with the largest single position often as much as ~2-3% but most are under 1%. Many of these credit investments are often senior in the capital structure with substantial equity contribution in the capital structure to absorb losses (in recent years equity contribution has been ~50% of cap structures across LBOs). Further, investors have been highly compensated via an overall return profile of high single digits to low double digits that can absorb some degree of loss content within the portfolio before meaningfully impacting returns. Some direct lending funds may perform better than others, and we wouldn't be surprised to see increased return dispersion this cycle.

Exhibit 5: ARES's listed BDC, ARCC, has ~23% Exposure to Software & Services



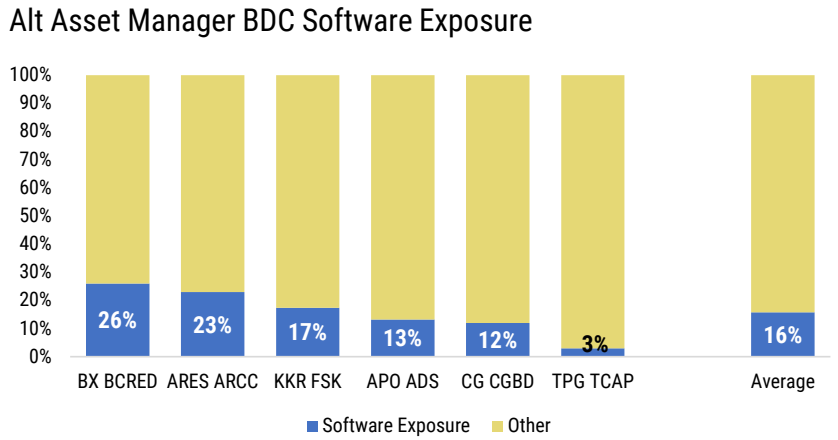
Source: ARCC 3Q25 Investor Presentation

Exhibit 6: BX's non-traded BDC, BCRED, has ~26% Exposure to Software



Source: BCRED 2025 Factsheet

Exhibit 7: On average, we see 16% exposure to software at alts BDCs



Source: Company Data, Morgan Stanley Research. BCRED, ADS, and TCAP data as of 12/31/2025, ARCC, FSK, and CGBD data as of 9/30/2025. Note: TPG TCAP represents IT exposure

Share price volatility creating attractive entry point in high quality alt mgrs that are highly diversified across end markets and poised to benefit from improving M&A and IPO activity. We expect pent-up transaction demand from corporates and sponsors to start pulling through which should boost earnings power at the alts. This, combined with reaccelerating capital markets and a more certain macro policy backdrop sets the stage for a more synchronized recovery across private markets as normalization in deal activity, aided by narrower bid-ask spreads and healthy liquidity, underpins higher transaction and performance fees across platforms. We continue to favor stocks that were well placed for secular across private wealth, insurance, fixed income replacement and infrastructure…. as well as cyclical beneficiaries from cap mkts recovering (**OW KKR**), improving earnings visibility **(OW APO**) as well as commercial real estate recovery stories (**OW BX, BN**).

Valuation Methodology and Risks

Apollo Global Management Inc (APO.N)

We value APO using a sum-of-the-parts, and back into implied 16x target multiple on 2027e EPS. Sum-of-the-parts reflects a 28x multiple on after-tax core fee related earnings, 8x on insurance earnings, and 8x on carry balance.

Risks to Upside

- Faster traction in private wealth channel
- Strategic actions accelerate growth
- Better appreciation of Apollo/Athene combined earnings power

Risks to Downside

- Concerns around b/s exposure and potential credit cycle
- Slower deployment; poor investment performance
- Challenging capital markets backdrop from higher rates delays exits & strategic/deal-driven asset flows
- Regulatory & balance sheet risk from ATH ownership

Brookfield Corporation (BN.N)

We value BN using a 15.1x multiple on '27 EPS, which reflects a conservative ~5x discount to the broader alts group on '27 P/E given more capital intensive business and in-line with closest peers KKR and APO. Valuation backed by a sum-of-the-parts approach which values each of BN's underlying businesses.

Risks to Upside

- Faster fundraising and FRE growth at BAM
- Capital markets recovery boosts realizations and sell-down of real estate
- Insurance business scales faster than expected driven by strong secular tailwinds

Risks to Downside

- Slower fundraising, less scaling of funds, and slower FRE growth at BAM
- Challenging macro backdrop leads to muted realizations, and pressure real estate book
- Insurance business takes longer to scale

Blackstone Inc. (BX.N)

Based on 25x P/E on 2027 EPS. Target multiple reflects where mature, management fee heavy peers trade on 2027e P/E, which we think is warranted given the positive outlook for a mix shift towards FRE and expectation for sustained, above trend growth in the long run.

Risks to Upside

- Faster and larger than expected fundraising for flagship and newer strategies
- Growth in FRE from fee activation of newly raised funds and perpetual capital vehicles
- Improved macro with rate cuts

Risks to Downside

- Rates-induced market volatility that hurts portfolio marks, delays perf fees recognition and curtails deployment
- Regulatory risk: increased political and regulatory scrutiny of private equity business model

KKR & CO. Inc (KKR.N)

We value KKR using a 21.0x multiple on '27 EPS, which implies a premium to historical given more diversified business mix and an attractive growth outlook driven in part by capital markets recovery.

Risks to Upside

- Faster deployment with greater opportunity set
- Accelerated portfolio exit activity
- Stronger fundraising boosted by seeding of new strategies and retail initiatives
- Large Insurance M&A

Risks to Downside

- Worse than expected restrictive trade policies could induce a recession, credit cycle, leading to weaker returns, balance sheet mark downs & pressure earnings
- Increased political and regulatory scrutiny

Disclosure Section

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The following analysts hereby certify that their views about the companies and their securities discussed in this report are accurately expressed and that they have not received and will not receive direct or indirect compensation in exchange for expressing specific recommendations or views in this report: Michael J. Cyprys, CFA, CPA.

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Within the last 12 months, Morgan Stanley has received compensation for investment banking services from Acadian Asset Management Inc., Ameriprise Financial, Inc., Ares Management Corp, BlackRock Inc., Blackstone Inc., Brookfield Asset Management Ltd., Brookfield Corporation, Charles Schwab Corp, Franklin Resources Inc., Gemini Space Station, Inc, Invesco, KKR & CO. Inc, LPL Financial Holdings Inc., Miami International Holdings Inc, StepStone Group, T. Rowe Price Group, Inc., TPG, Inc., Victory Capital Holdings Inc, Virtus Investment Partners Inc.

In the next 3 months, Morgan Stanley expects to receive or intends to seek compensation for investment banking services from Acadian Asset Management Inc., Ameriprise Financial, Inc., Apollo Global Management Inc, Ares Management Corp, BlackRock Inc., Blackstone Inc., Brookfield Asset Management Ltd., Brookfield Corporation, Carlyle Group Inc, CBOE Global Markets Inc., Charles Schwab Corp, CME Group Inc., Franklin Resources Inc., Gemini Space Station, Inc, Hamilton Lane Inc., Intercontinental Exchange Inc, Invesco, Janus Henderson Group, KKR & CO. Inc, LPL Financial Holdings Inc., Miami International Holdings Inc, Nasdaq, Inc., P10, Inc., Raymond James Financial Inc., Robinhood Markets, Inc., StepStone Group, T. Rowe Price Group, Inc., TPG, Inc., Tradeweb Markets Inc, Victory Capital Holdings Inc, Virtu Financial Inc, Virtus Investment Partners Inc.

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Global Stock Ratings Distribution

(as of January 31, 2026)

The Stock Ratings described below apply to Morgan Stanley's Fundamental Equity Research and do not apply to Debt Research produced by the Firm.

For disclosure purposes only (in accordance with FINRA requirements), we include the category headings of Buy, Hold, and Sell alongside our ratings of Overweight, Equal-weight, Not-Rated and Underweight. Morgan Stanley does not assign ratings of Buy, Hold or Sell to the stocks we cover. Overweight, Equal-weight, Not-Rated and Underweight are not the equivalent of buy, hold, and sell but represent recommended relative weightings (see definitions below). To satisfy regulatory requirements, we correspond Overweight, our most positive stock rating, with a buy recommendation; we correspond Equal-weight and Not-Rated to hold and Underweight to sell recommendations, respectively.

	Coverage Universe		Investment Banking Clients (IBC)			Other Material Investment Services Clients (MISC)	
Stock Rating Category	Count	% of Total	Count	% of Total IBC	% of Rating Category	Count	% of Total Other MISC
Overweight/Buy	1520	41%	425	48%	28%	685	42%
Equal-weight/Hold	1579	43%	375	42%	24%	713	44%
Not-Rated/Hold	4	0%	1	0%	25%	1	0%
Underweight/Sell	592	16%	89	10%	15%	232	14%
Total	3,695		890			1631	

Data include common stock and ADRs currently assigned ratings. Investment Banking Clients are companies from whom Morgan Stanley received investment banking compensation in the last 12 months. Due to rounding off of decimals, the percentages provided in the "% of total" column may not add up to exactly 100 percent.

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Overweight (O). The stock's total return is expected to exceed the average total return of the analyst's industry (or industry team's) coverage universe, on a risk-adjusted basis, over the next 12-18 months.

Equal-weight (E). The stock's total return is expected to be in line with the average total return of the analyst's industry (or industry team's) coverage universe, on a risk-adjusted basis, over the next 12-18 months.

Not-Rated (NR). Currently the analyst does not have adequate conviction about the stock's total return relative to the average total return of the analyst's industry (or industry team's) coverage universe, on a risk-adjusted basis, over the next 12-18 months.

Underweight (U). The stock's total return is expected to be below the average total return of the analyst's industry (or industry team's) coverage universe, on a risk-adjusted basis, over the next 12-18 months.

Unless otherwise specified, the time frame for price targets included in Morgan Stanley Research is 12 to 18 months.

Analyst Industry Views

Attractive (A): The analyst expects the performance of his or her industry coverage universe over the next 12-18 months to be attractive vs. the relevant broad market benchmark, as indicated below.

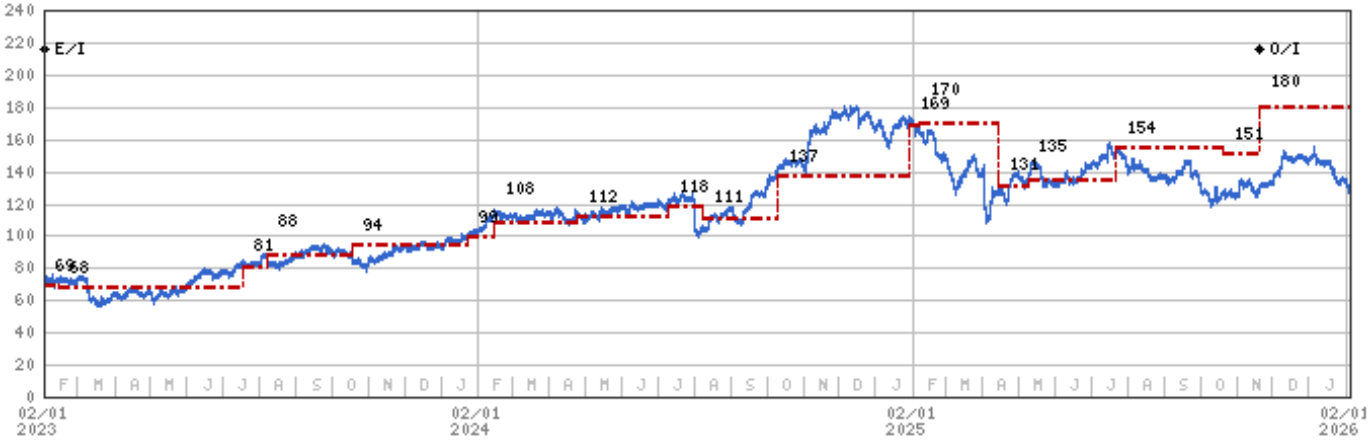
In-Line (I): The analyst expects the performance of his or her industry coverage universe over the next 12-18 months to be in line with the relevant broad market benchmark, as indicated below.

Cautious (C): The analyst views the performance of his or her industry coverage universe over the next 12-18 months with caution vs. the relevant broad market benchmark, as indicated below.

Benchmarks for each region are as follows: North America - S&P 500; Latin America - relevant MSCI country index or MSCI Latin America Index; Europe - MSCI Europe; Japan - TOPIX; Asia - relevant MSCI country index or MSCI sub-regional index or MSCI AC Asia Pacific ex Japan Index.

Stock Price, Price Target and Rating History (See Rating Definitions)

Apollo Global Management Inc (APO.N) - As of 02/04/26 GMT in USD
Industry : Brokers, Asset Managers & Exchanges



Stock Rating History: 2/1/21 : O/I; 7/19/22 : E/I; 11/20/25 : O/I

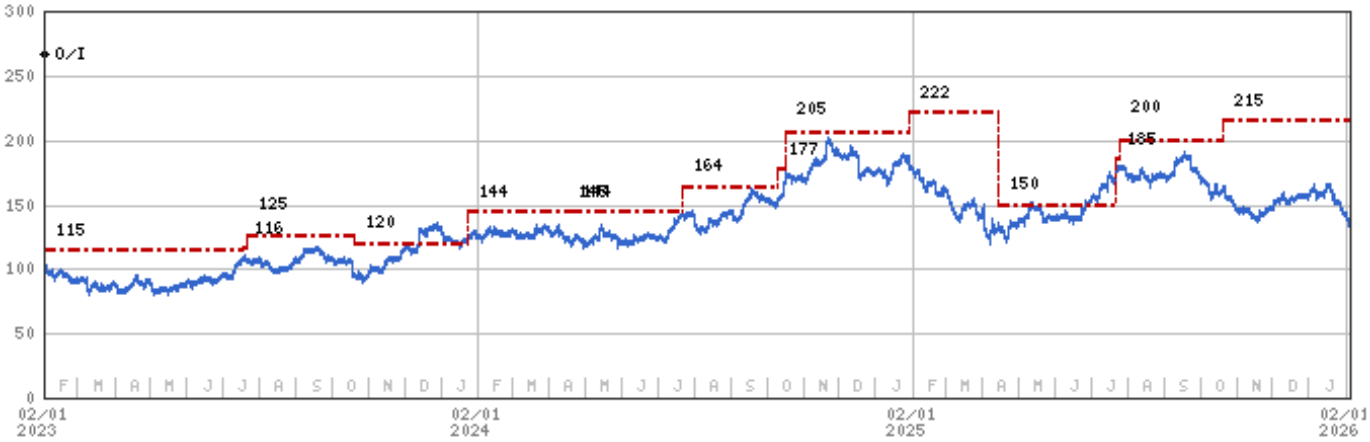
Price Target History: 1/26/21 : 55; 2/8/21 : 62; 5/5/21 : 64; 7/20/21 : 70; 8/6/21 : 73; 10/15/21 : 79; 11/3/21 : 90; 1/21/22 : 88; 4/20/22 : 81; 7/19/22 : 60; 8/15/22 : 61; 10/18/22 : 57; 11/3/22 : 60; 1/24/23 : 69; 2/13/23 : 68; 7/18/23 : 81; 8/7/23 : 88; 10/18/23 : 94; 1/24/24 : 99; 2/15/24 : 108; 4/24/24 : 112; 7/11/24 : 118; 8/8/24 : 111; 10/10/24 : 137; 1/29/25 : 169; 2/7/25 : 170; 4/14/25 : 131; 5/9/25 : 135; 7/23/25 : 154; 10/21/25 : 151; 11/20/25 : 180

Source: Morgan Stanley Research Date Format : MM/DD/YY Price Target No Price Target Assigned (NA)
Stock Price (Not Covered by Current Analyst) Stock Price (Covered by Current Analyst)
Stock and Industry Ratings (abbreviations below) appear as ◆ Stock Rating/Industry View
Stock Ratings: Overweight (O) Equal-weight (E) Underweight (U) Not-Rated (NR) No Rating Available (NA)
Industry View: Attractive (A) In-line (I) Cautious (C) No Rating (NR)

Effective January 13, 2014, the stocks covered by Morgan Stanley Asia Pacific will be rated relative to the analyst's industry (or industry team's) coverage.

Effective January 13, 2014, the industry view benchmarks for Morgan Stanley Asia Pacific are as follows: relevant MSCI country index or MSCI sub-regional index or MSCI AC Asia Pacific ex Japan Index.

Blackstone Inc. (BX.N) - As of 02/04/26 GMT in USD
Industry : Brokers, Asset Managers & Exchanges



Stock Rating History: 2/1/21 : O/I

Price Target History: 1/28/21 : 84; 3/16/21 : 90; 4/23/21 : 98; 7/20/21 : 121; 7/23/21 : 124; 10/15/21 : 134; 10/25/21 : 180; 1/21/22 : 165; 1/28/22 : 166; 4/20/22 : 154; 7/19/22 : 125; 7/26/22 : 121; 10/18/22 : 115; 10/21/22 : 113; 1/24/23 : 110; 1/30/23 : 115; 7/18/23 : 116; 7/21/23 : 125; 10/20/23 : 120; 1/24/24 : 144; 4/17/24 : 145; 4/19/24 : 144; 7/23/24 : 164; 10/10/24 : 177; 10/18/24 : 205; 1/29/25 : 222; 4/14/25 : 150; 7/23/25 : 185; 7/25/25 : 200; 10/21/25 : 215

Source: Morgan Stanley Research Date Format : MM/DD/YY Price Target No Price Target Assigned (NA)
Stock Price (Not Covered by Current Analyst) Stock Price (Covered by Current Analyst)
Stock and Industry Ratings (abbreviations below) appear as ◆ Stock Rating/Industry View
Stock Ratings: Overweight (O) Equal-weight (E) Underweight (U) Not-Rated (NR) No Rating Available (NA)
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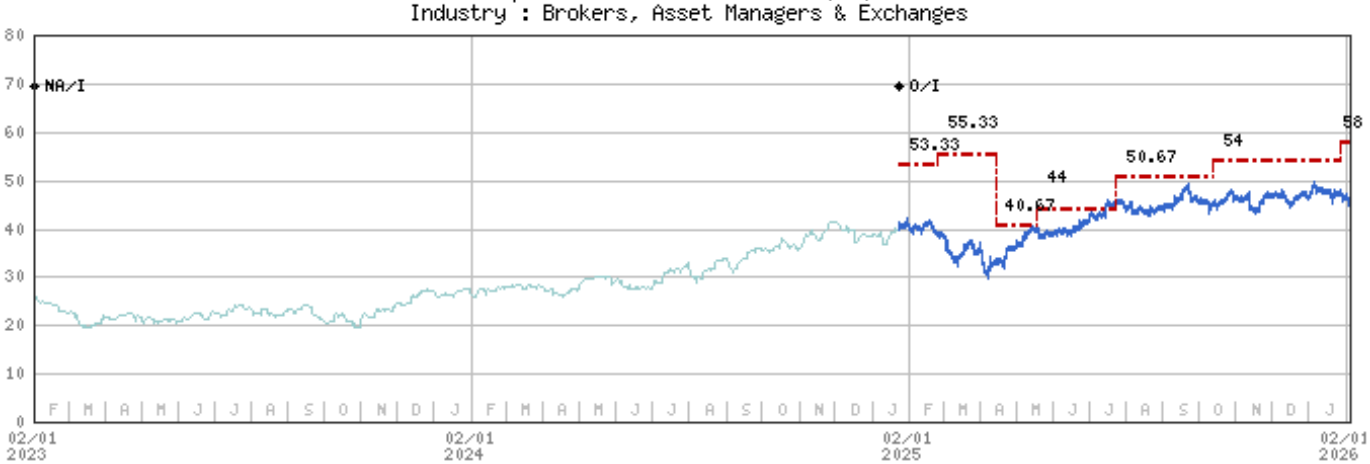
Brookfield Corporation (BN.N) - As of 02/04/26 GMT in USD
Industry : Brokers, Asset Managers & Exchanges



Stock Rating History: 2/1/21 : NA/I; 1/23/25 : O/I

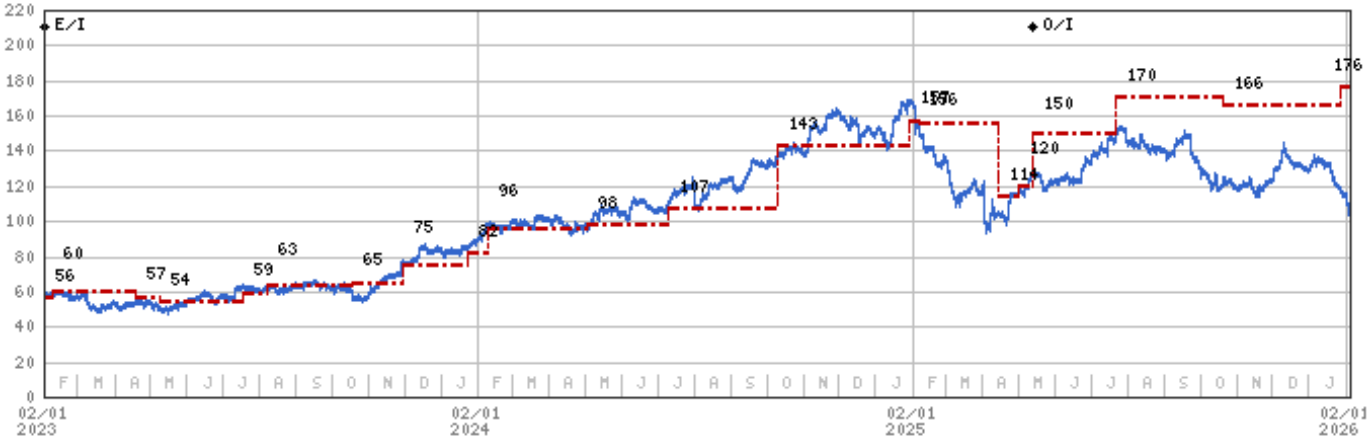
Price Target History: 1/23/25 : 53.33; 2/25/25 : 55.33; 4/14/25 : 40.67; 5/19/25 : 44; 7/23/25 : 50.67; 10/13/25 : 54; 1/27/26 : 58

Source: Morgan Stanley Research Date Format : MM/DD/YY Price Target No Price Target Assigned (NA)
Stock Price (Not Covered by Current Analyst) Stock Price (Covered by Current Analyst)
Stock and Industry Ratings (abbreviations below) appear as ◆ Stock Rating/Industry View
Stock Ratings: Overweight (O) Equal-weight (E) Underweight (U) Not-Rated (NR) No Rating Available (NA)
Industry View: Attractive (A) In-line (I) Cautious (C) No Rating (NR)

Effective January 13, 2014, the stocks covered by Morgan Stanley Asia Pacific will be rated relative to the analyst's industry (or industry team's) coverage.

Effective January 13, 2014, the industry view benchmarks for Morgan Stanley Asia Pacific are as follows: relevant MSCI country index or MSCI sub-regional index or MSCI AC Asia Pacific ex Japan Index.

KKR & CO. Inc (KKR.N) - As of 02/04/26 GMT in USD
Industry : Brokers, Asset Managers & Exchanges



Stock Rating History: 2/1/21 : E/I; 5/14/25 : O/I

Price Target History: 1/26/21 : 43; 4/16/21 : 60; 5/10/21 : 64; 7/20/21 : 66; 8/9/21 : 70; 10/15/21 : 72; 11/8/21 : 90; 1/21/22 : 83; 2/10/22 : 78; 4/20/22 : 71; 5/9/22 : 72; 7/19/22 : 60; 10/18/22 : 56; 2/8/23 : 60; 4/19/23 : 57; 5/9/23 : 54; 7/18/23 : 59; 8/8/23 : 63; 10/18/23 : 65; 11/30/23 : 75; 1/24/24 : 82; 2/9/24 : 96; 5/3/24 : 98; 7/11/24 : 107; 10/10/24 : 143; 1/29/25 : 157; 2/6/25 : 156; 4/14/25 : 114; 5/2/25 : 120; 5/14/25 : 150; 7/23/25 : 170; 10/21/25 : 166; 1/27/26 : 176

Source: Morgan Stanley Research Date Format : MM/DD/YY Price Target No Price Target Assigned (NA)
Stock Price (Not Covered by Current Analyst) Stock Price (Covered by Current Analyst)
Stock and Industry Ratings (abbreviations below) appear as ◆ Stock Rating/Industry View
Stock Ratings: Overweight (O) Equal-weight (E) Underweight (U) Not-Rated (NR) No Rating Available (NA)
Industry View: Attractive (A) In-line (I) Cautious (C) No Rating (NR)

Effective January 13, 2014, the stocks covered by Morgan Stanley Asia Pacific will be rated relative to the analyst's industry (or industry team's) coverage.

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INDUSTRY COVERAGE: Brokers, Asset Managers & Exchanges

COMPANY (TICKER)	RATING (AS OF)	PRICE* (02/03/2026)

Michael J. Cyprys, CFA, CPA

Acadian Asset Management Inc. (AAMI.N)	E (04/07/2025)	$51.67
Ameriprise Financial, Inc. (AMP.N)	U (07/15/2025)	$530.05
Apollo Global Management Inc (APO.N)	O (11/20/2025)	$126.85
Ares Management Corp (ARES.N)	E (09/10/2021)	$131.60
BlackRock Inc. (BLK.N)	O (09/18/2015)	$1,070.08
Blackstone Inc. (BX.N)	O (12/15/2014)	$133.88
Brookfield Asset Management Ltd. (BAM.N)	E (01/23/2025)	$47.37
Brookfield Corporation (BN.N)	O (01/23/2025)	$44.63
Carlyle Group Inc (CG.O)	E (11/14/2018)	$58.27
CBOE Global Markets Inc. (CBOE.Z)	U (05/14/2025)	$268.68
Charles Schwab Corp (SCHW.N)	O (04/08/2025)	$103.73
CME Group Inc. (CME.O)	O (04/08/2025)	$293.07
Franklin Resources Inc. (BEN.N)	U (09/03/2020)	$27.00
Gemini Space Station, Inc (GEMI.O)	E (10/07/2025)	$7.55
Hamilton Lane Inc. (HLNE.O)	E (01/26/2021)	$136.09
Intercontinental Exchange Inc (ICE.N)	E (06/11/2021)	$163.07
Invesco (IVZ.N)	E (01/03/2018)	$26.53
Janus Henderson Group (JHG.N)	E (11/16/2023)	$48.12
KKR & CO. Inc (KKR.N)	O (05/14/2025)	$103.28
LPL Financial Holdings Inc. (LPLA.O)	O (04/09/2024)	$386.94
MarketAxess Holdings Inc. (MKTX.O)	E (11/20/2025)	$160.28
Miami International Holdings Inc (MIAX.N)	O (09/08/2025)	$41.06
Nasdaq, Inc. (NDAQ.O)	O (11/20/2025)	$87.71
P10, Inc. (PX.N)	E (03/04/2024)	$10.35
Raymond James Financial Inc. (RJF.N)	E (07/21/2023)	$166.20
Robinhood Markets, Inc. (HOOD.O)	E (04/08/2025)	$87.07
StepStone Group (STEP.O)	E (07/19/2022)	$63.03
T. Rowe Price Group, Inc. (TROW.O)	E (10/05/2017)	$102.66
TPG, Inc. (TPG.O)	E (04/14/2025)	$53.34
Tradeweb Markets Inc (TW.O)	E (04/08/2025)	$99.48
Victory Capital Holdings Inc (VCTR.O)	E (10/18/2024)	$69.00
Virtu Financial Inc (VIRT.N)	U (04/08/2025)	$38.30
Virtus Investment Partners Inc (VRTS.N)	U (04/08/2022)	$152.25
WisdomTree Inc. (WT.N)	E (04/08/2021)	$16.45

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* Historical prices are not split adjusted.

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